

Blockchain technology, at its core, is a digital ledger of transactions that is duplicated and distributed across an entire network of computer systems. Every time a new block is added to the blockchain, every computer on the network updates its blockchain to reflect the change. Through this mechanism, blockchain ensures that every transaction is transparent to all users and also remains immutable once added. In essence, it provides a trustworthy record without the need for intermediaries.

The real breakthrough for blockchain technology came with the rise of Bitcoin, the world's first cryptocurrency. Proposed by an unknown entity named Satoshi Nakamoto in 2008, Bitcoin offered a decentralised way to conduct transactions without relying on a central bank or single administrator. This independence from traditional banking and governmental systems was its most alluring charm.

The crypto boom — blockchain's claim to fame

There's no discussing blockchain's journey without mentioning the astronomical rise of cryptocurrencies. As Bitcoin grew in prominence, so did the underlying technology that powered it — blockchain. It didn't take long for venture capitalists and other market savants to realise the potential for making easy money with cryptocurrencies and NFTs.

By 2021, what began as a fringe experiment with Bitcoin had evolved into a global phenomenon with thousands of digital currencies vying for attention. This crypto boom did more than just turn heads; it signalled a seismic shift in how people perceived money, value, and decentralised systems.

Several factors contributed to the crypto explosion.

Distrust in traditional financial systems: Post the 2008 financial crisis,

there was growing disillusionment with centralised banking systems and fiat currencies. Cryptocurrencies, being decentralised and transparent, became an attractive alternative for many.

Speculative investment: As stories of early Bitcoin investors becoming millionaires began to circulate, more people dove headfirst into crypto as an investment opportunity, hoping to reap massive returns.

Technological curiosity: For many tech enthusiasts, the underlying blockchain technology was as alluring as the potential profits. The idea of decentralised, transparent transactions without intermediaries was groundbreaking.

New financial solutions: Cryptocurrencies and blockchain introduced innovative solutions to age-old financial problems. Concepts like smart contracts, decentralised finance (DeFi), and non-fungible tokens (NFTs) promised to reshape sectors ranging from lending and borrowing to art and entertainment.

The downfall of crypto and its impact on blockchain

While the crypto boom played a pivotal role in bringing blockchain to the forefront, it also cast a shadow. The very success of cryptocurrencies inadvertently confined blockchain's perception to the realm of digital money. This overshadowing has, to some extent, influenced the challenge blockchain faces in finding its footing in diverse industries outside the world of crypto.

To make matters worse, the cryptocurrency market experienced a major crash in 2021, with the total market capitalisation falling from nearly \$3 trillion to less than \$1 trillion. This crash was caused by several factors, including rising inflation, rising interest rates, and increased regulatory scrutiny.

One of the biggest scandals that contributed to the crash was

the collapse of the cryptocurrency exchange FTX. FTX was a major player in the crypto market, and its collapse caused a wave of panic selling. The scandal surrounding FTX involved allegations that the company was insolvent and that it had engaged in market manipulation.

This triggered the Securities and Exchange Commission (SEC) to act and the crypto crackdown began. The SEC issued several enforcement actions against crypto companies, alleging that they had violated securities laws. These enforcement actions further shook the confidence of investors in the crypto market.

The crypto crash of 2021 had quite a few remarkable consequences. First, it caused a significant loss of wealth for investors. Second, it led to increased regulatory scrutiny of the crypto market. Third, it damaged the reputation of cryptocurrencies and made it more difficult for crypto companies to raise capital. It was a major setback for the cryptocurrency industry, but moreover, it was a major setback for blockchain technologies.

As funding for crypto projects seized, blockchain projects focused on other domains also felt the impact.

According to a report by *CB Insights*, venture capital funding for blockchain companies fell by 88% in the first half of 2022 compared to the same period in 2021. The report also found that the number of blockchain deals fell by 60% in the same period. The lack of clear use cases for blockchain technologies outside of the crypto industry made it difficult for investors to see the potential return on investment for these projects.

The theoretical use cases for blockchain outside of crypto and finance

Before we jump into the current state of blockchain, it is necessary to summarise some of the potential problems it could theoretically solve, outside of crypto and finance. These are the potential use